

Income Protection – Financial update

Health Claims Forum
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Topics covered

- 1 New rules for the taxation of dividends
- 2 The end of the tax return?

New Rules for the Taxation of Dividends



What are dividends?

- A distribution of profit after Corporation Tax by a company to its shareholders
- Not all of the profit after Corporation Tax has to be paid out as dividends and some may be retained in the company
- Every eligible shareholder of a company is entitled to a dividend based on their shareholding, e.g. if you have a 50% shareholding you are entitled to 50% of the profit after Corporation Tax

Income Protection claims

- How does the policy define dividends?

- 1) *"Dividend received"*

- open to manipulation
 - For example, post incident pay a lower dividend even if further profits are available

- 2) *"Dividends available"*

- Some policies use distributable profits e.g. a % of profit after tax

- Change in dividend taxation

- Pay income protection benefits gross so does this impact on IP claims?
 - Could result in dividend manipulation for tax reasons that could impact the claim

The old rules (pre April 2016)

■ Dividend Tax Credit

- “Gross up” dividends received by 10% (tax credit)
- Personal Allowance deducted from all income received
- Apply appropriate tax rates for each income stream (earnings / dividends etc.)
- “Dividend Tax Credit” (i.e. $10\% \times \text{gross dividend}$) then offset from the total tax liability reducing the total tax payable

Basic rate	10%
Higher rate	32.5%
Additional rate	37.5%

The new rules (from April 2016)

- Introduction of a Dividend Allowance of £5,000 per annum
- Dividend Allowance reduces the earnings bands unlike the Personal Allowance
- Dividends above the Dividend Allowance are charged at new dividend tax rates
- 2016/2017 tax year

Basic rate	7.5%
Higher rate	32.5%
Additional rate	38.1%

Illustration

	Pre April 2016 £	Post April 2016 £	Post April 2016 £
Dividend (net)	40,000	40,000	25,000
Dividend (gross)	44,444	n/a	n/a
Tax on dividends - old rules			
£32,000 @ 10%	3,200	n/a	n/a
£12,444 @ 32.5%	4,044	n/a	n/a
Tax credit @ 10%	(4,444)	n/a	n/a
Tax on dividends - new rules			
£5,000 @ 0%	n/a	0	0
£27,000 / £20,000 @ 7.5%	n/a	2,025	1,500
£8,000 / £0 @ 32.5%	n/a	2,600	0
Total tax payable	2,800	4,625	1,500
Profits retained in the business	0	0	15,000

What does this mean for Income Protection claims?

- Back dating dividends
 - Overstate pre-incapacity earnings

- Retaining profits in the business
 - How does your policy define earnings?
 - Is it income chargeable to tax?
 - Understate post-incapacity earnings

- Change in ownership
 - Make the most of the Dividend Allowance

The end of the Tax Return



The end of the tax return

- Many businesses and individuals manage their tax affairs digitally
 - 98% of Corporation Tax Returns and 99% of VAT returns are submitted online
 - 86% of Self Assessment Tax Returns are made online
- At the March 2015 Budget, the government set out their vision for a transformed tax system and the end of the tax return

Digital Tax Account

- Taxpayers will see the information HMRC holds through their Digital Tax Accounts
- By 2020, businesses and individual taxpayers will be able to register, file, pay and update their information at any time and, for the vast majority, there will be no need to fill in an annual tax return
- The modern, digital tax system will give all taxpayers a single, personalised view of their overall tax position across all of their liabilities



***“Taxpayers will get a real-time view
of their tax affairs and see how
their tax is calculated”***

Source: Making tax easier: The end of the tax return

The impact on Income Protection claims

- Businesses and individual taxpayers currently give information on tax returns and pay liabilities up to ten months after the tax year to which the information relates
- From April 2018, businesses (inc. self-employed businesses and property rentals), will update HMRC at least quarterly – **does this mean more documents available will be available in a more timely manner?**
- Following consultations in 2016 all unincorporated businesses with a turnover of less than £10,000pa will be exempt – **does this mean there will be limited documents available for smaller businesses?**

Questions?

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